

Market expanded as many goods got commoditised or commodified. For example, labour was not directly bought and sold earlier on wages, the labour price per unit of time— notwithstanding existence of slavery wherein a person can be bodily sold; later, it became like any other commodity. Many services like legal advocacy, consultancy, teaching, training, research, marketing, are also now on sale. In management science, market may mean a verb for advertisement.

Normally, we associate market with a place where we carry out purchase and sale of goods. Some are regular and some organised on periodic basis and some on occasions like festivals. There are virtual markets as well, as we are now becoming used to. However, in Economics, for analytical purposes, markets can be classified as asset markets, goods markets, and service markets; goods markets and factor markets; financial market, bond market and money market, etc. They present a platform with certain conditions to facilitate voluntary exchange of goods and services. Based on level of competition, they may be called monopoly, monopolistically competitive or oligopoly. The nature of State intervention invariably depends on the structure of the market. However, State intervention always take the form of influencing either the prices, quantity, or quality standards, or all of them.

If an institution means a set of rules to conduct affairs in a given domain, transactions such as exchange of goods and services, lending or borrowing of money, leasing, or mortgaging of assets (including intellectual property), accepting deposits and loaning them out or conducting other financial services like underwriting risk, all constitute separate markets— some of them may be inter-related.

There are conventions to transact business, some of which are instantaneous, some over time, some with attendant warrantee and conditionalities, some for future dates. For various reasons, the State may find it necessary to intervene by framing laws— rules, regulations, orders, guidelines etc.

6.2.3 Premises of Market

Market presupposes existence of property rights over resources and commodities— ownership of property by individuals, families, businesses, communities, and governments. Non-government ownership is often designated as private. Some properties are said to be common property. Property itself may be tangible or intangible. The former is physical – moveable and immoveable while the latter is mostly financial or intellectual. Market presumes that such property rights are alienable or transferable. So, farming field, town house, government bond, and molecule patent are all alienable. There may be new kind of rights like club membership, right to smoke or right to vote. You may have right to smoke in a railway coach which you may exchange it for consideration with someone who may find it obnoxious but you cannot legally exchange your voting right. So, you may have right to use but not to exchange. Likewise, you cannot pass on your right to smoke or right to vote to your children. They extinguish with your passing away. Government may give land to use but not to sell. Ownership is itself is a bundle of rights and you may possess some of those while others may be possessed by others. You rent in a house and you use; you lease in a piece of land and you cultivate it; you mortgage your financial papers and use borrowed money for some purpose, and you have an intellectual property and permit its use by others. In addition, it also presupposes existence of some rules of

inheritance of properties that survive the owner though some of them extinguish with the person.

Chattel (i.e., personal possession not related to real estate) seems to be the first form that came to be accepted as property and slaves appear to be the worst form of property. Both are the cases of means of production as are land, workshops, tools, and equipment. Socialist thinkers believe that means of production which occasion the employment of a sizeable number of workers have to be socially owned whereas capitalist proponents support private ownership. While some believe that private property provides incentive to exert harder, there are some, like Ludwig von Mises, who think that prices cannot be formed in the absence of private property over means (factors) of production.

There is often a distinction made between private property and personal property and another between consumption goods (means of consumption) and capital goods (means of production).

Mutual transfer of properties, including money, in a voluntary exchange is the basis of market. In case, there is a breach of generally acceptable behaviour there exists some mechanism, namely legal redress, to enforce it.

However, market may not exist in certain cases as goods may have peculiar characteristics. Or market may exist but may not yield efficient outcomes. So, private property may be a necessary condition for market to function, but not sufficient. Likewise, rules for succession or inheritance of certain properties are a necessary institution for a society but not sufficient.

Check Your Progress 1

- 1) Differentiate between State and Government.

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- 2) State the different meanings of State in political sense.

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- 3) Explain different nuances of a market.

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- 4) What are essential premises of market in terms of voluntary exchange?

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6.3 STATE INTERVENTION IN MARKET: INSTRUMENTS AND INSTITUTIONS

State intervenes practically in all spheres— economic, political, and social. In economic sphere, there are general interventions in the economy and there are interventions specific to individual markets. For example, RBI interventions aiming at supply of money which is for the economy as a whole, while interventions by TRAI to influence telecom sector in terms of price, quantum, and quality or standards are specific to the market for telecom services. State devises a variety of methods which are used for intervention and a variety of institutions through which intervention is carried out.

Beside policy formulation, legislation of law, framing of rules, and outlining guidelines, market specific instruments of State interventions can take the shape of production, provision, promotion, protection, restriction (on price, quantum or standards), regulation (on labour or environment), control and sharing information.

Likewise, there are variety of institutions through which interventions are carried out. These institutions are named as agency, association, authority, bureau, boards, committee, commission, corporation, council, foundation, institution, office, organisation, society or trust, which all have somewhat different legal status and organisational complexion. There may be ad hoc task forces, working groups, panels of experts, etc. Similarly, broad sectoral interventions take the shape of plan, scheme, programme, project, campaign, and mission.

For the purpose of elaboration, this unit chooses to classify micro interventions as they are, into four groups in terms of (i) Ownership and Operation, (ii) Regulation and Control, (iii) Promotion and Support, and (iv) Protection.

6.3.1 Ownership and Operation

There may be certain strategic industries/market where State does not trust private owners as it does normally. This is in the case of core defence, police activities or mintage, coinage, and note-issuing, which once upon a time private parties engaged in. There may be sectors where private capital may be shy as it may not have enough capital or venture may be too risky. State may choose to have monopoly over space industry or atomic energy industry or mining of atomic mineral resources. But the Government of the day may ideologically decide to control the commanding heights of the economy or establish a socialistic pattern of society. Or it may find no reason to do business. For example, in India, following Parliament's resolution to establish socialistic pattern of society in December 1955, the Industrial Policy Resolution of April 1956 included a whole set of 17 industries to be exclusively owned and operated by the Government. It included,